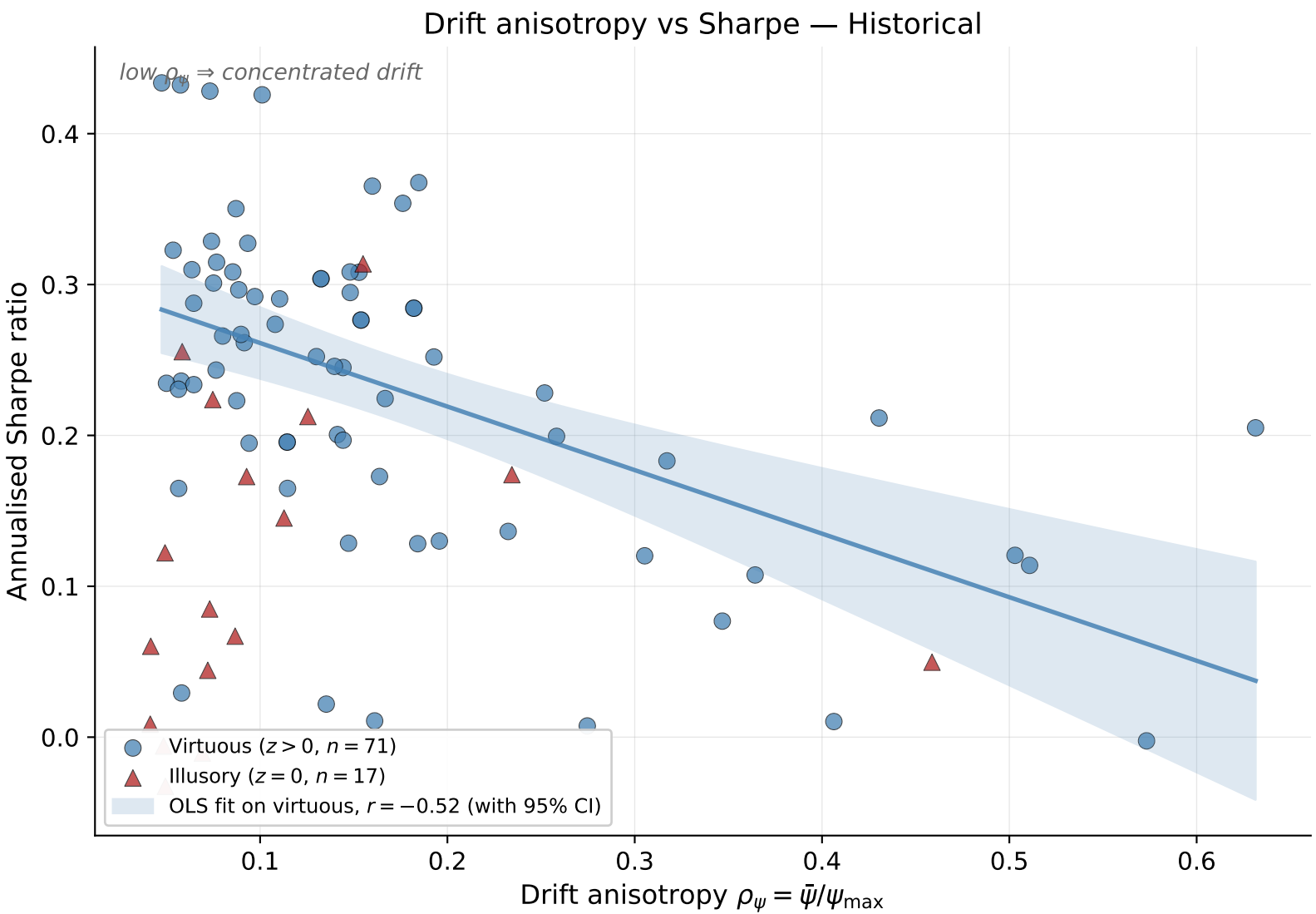
Drift anisotropy vs Sharpe — Historical
low $\rho_\psi \Rightarrow$ concentrated drift
Annualised Sharpe ratio
0.0
0.1
0.2
0.3
0.4
0.1
0.2
0.3
0.4
0.5
0.6
Drift anisotropy $\rho_\psi = \bar{\psi}/\psi_{\max}$
Virtuous ($z > 0$, $n = 71$)
Illusory ($z = 0$, $n = 17$)
OLS fit on virtuous, $r = -0.52$ (with 95% CI)